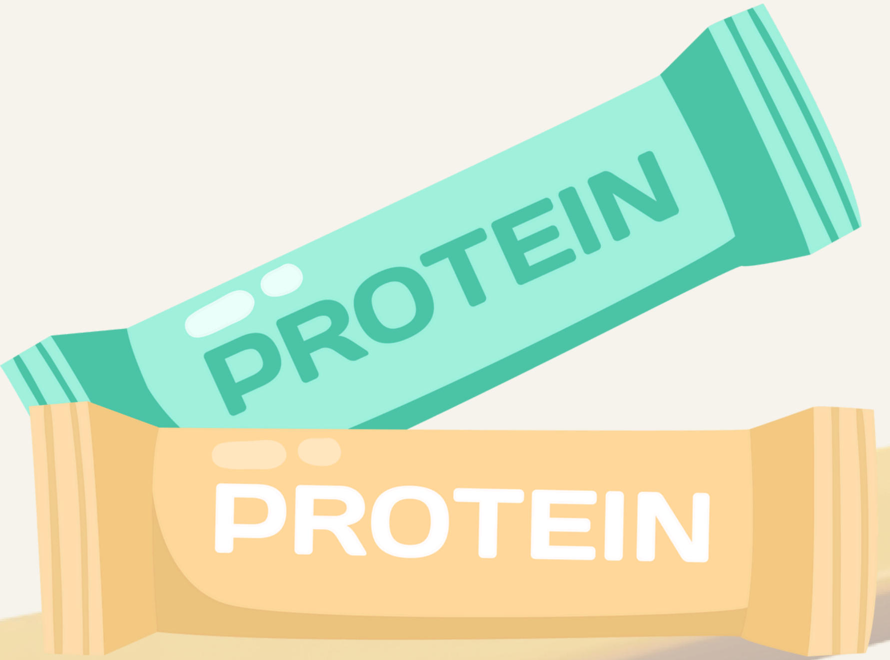
Company: **Optimum Nutrition**

New Category: **Protein Snacking**



Presented by:
Chinmay Agrawal

Optimum Nutrition's Whey Leadership Creates a Natural Entry into Protein Snacking

ON enters snacking as an extension of its core performance nutrition ecosystem, rooted in its global DNA: performance users first, everyday users second. This is a **frequency and compliance** move, not a diversification gamble.

From our core strength...
to this natural extension

Leveraging an Unassailable Core Strength: Whey Dominance

ON's brand is built on trust in whey protein for performance outcomes like muscle recovery and lean mass.

- Unlike competitors using snacks for mass-market acquisition, ON's entry leverages a pre-existing base of high-intent users who already pay a premium for quality.

Targeting Two High-Value User Segments

Existing Whey Users (Core Base): For this group, snacks are recovery bridges and convenience formats. They will drive high early adoption, repeat purchases, and bundling with supplements.

Performance-Aspirational Lifestyle Users: For office professionals and sports hobbyists, snacks serve as the first structured protein habit—an upgrade from "healthy" to "performance-aware."

A Deliberate Adjacency, Not a Brand Stretch

Goal: Solve the daily protein gap for existing users when a whey shake is not feasible (e.g., between meals, in the office, during travel).

Impact: Extends protein intake into non-gym moments, increasing daily protein frequency and improving compliance with nutritional goals.

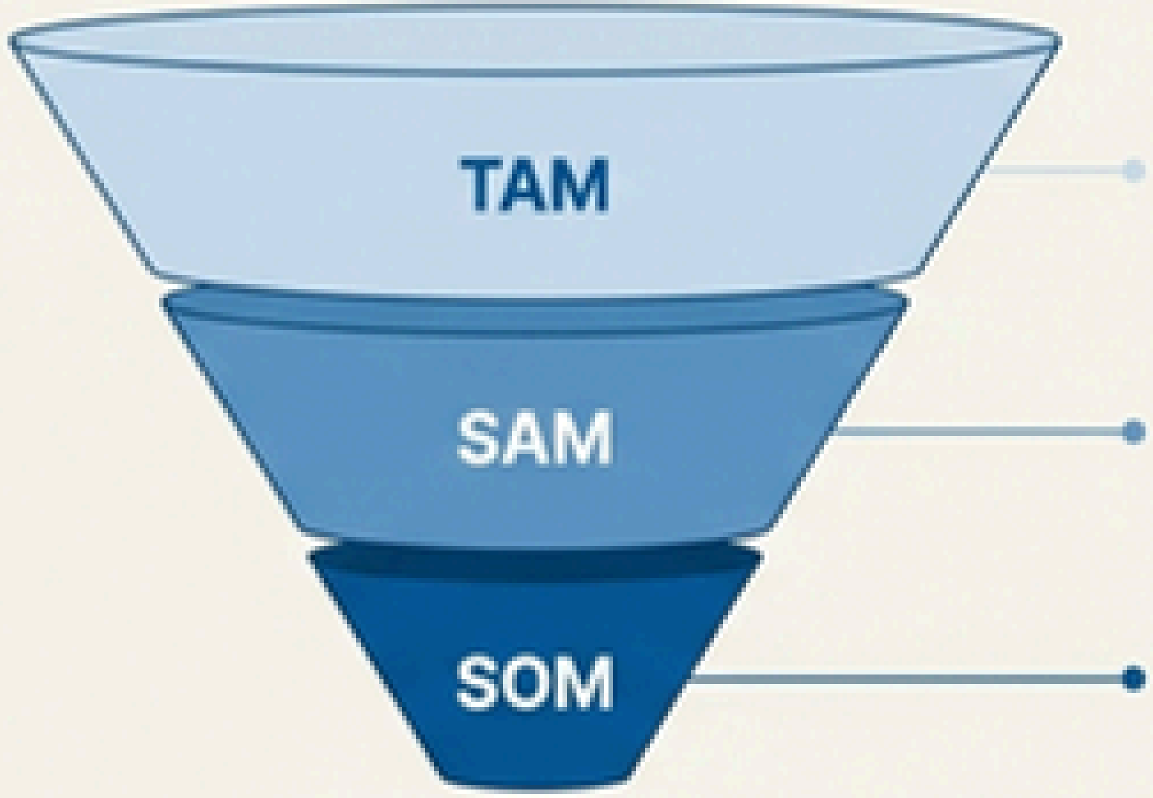
Strategic Payoff: Margin, Moat, and LTV

This selective, performance-led approach protects ON from taste-led price wars and the FMCG marketing battlefield.

It enables higher gross margins, lower customer acquisition costs (via the existing whey base), and a significantly higher lifetime value through whey + snack "stacking."

Protein Snacking Is a $17B Global Opportunity with Clear Gaps for ON

The global snacking market is vast, but ON will target a **specific, high-value segment**. The focus is exclusively on premium, whey-led performance formats where protein is the functional hero.



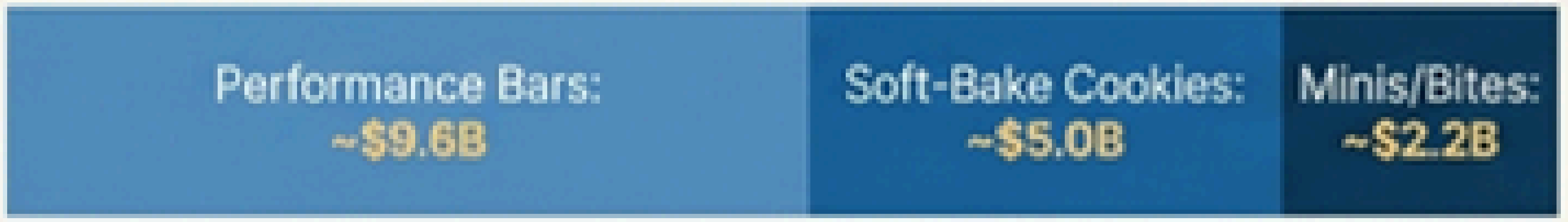
Filtered Market Sizing: TAM → SAM → SOM

Market Scope	Definition	Annual Value
TAM (Total Addressable Market)	Global spend on performance-led bars, cookies, & minis.	$17 Billion
SAM (Serviceable Available Market)	Portion of TAM in ON's active markets (90+ countries) & premium channels.	$12 Billion
SOM (Serviceable Obtainable Market)	Realistic 5-year revenue ambition for ON, representing a 5-7% share of SAM.	~$0.6–0.7 Billion

Defining the Addressable Market

- **Included Formats:** High-protein whey bars, soft-bake whey cookies, whey minis/protein bites.
- **Excluded Formats:** Protein chips, protein namkeen, low-protein mass biscuits, meat snacks.

Breakdown of TAM ($17B)



*Source: IMARC, Grand View Research, Euromonitor (filtered for whey-based performance snacking formats).

ON Will Focus on Bars, Cookies, and Minis—Not the Entire Snack Universe

Discipline in assortment is our primary strategic moat. We will win by achieving depth in fewer, high-performance formats rather than a shallow presence across many.

Level 1: High-Protein Performance Snacking

Sits between whey supplements and mass snacks. Every product is whey-led, delivers meaningful protein density, and supports performance goals.

✅ Entry Formats (Global Play Zone)

- **Protein Bars:** Flagship format (15-25g protein), the primary bridge from whey powder to solid food.
- **Protein Cookies (Soft-Bake Only):** Solves sweet cravings for performance-aspirational users.
- **Protein Bites/Minis:** High-frequency, small-dose habit builders for office and travel.

❌ No-Go Formats (By Design)

- **Protein Chips & Namkeen:** Explicitly avoided. These are ultra-processed, low in protein density, and would pull ON into taste-first FMCG battles, eroding "precision protein" credibility.

Level 3: Sub-Segments by Protein Intensity

	Performance-Lite (12–14g)	Active (15–18g)	Performance (19–25g)
Bars	—	✓	✓
Cookies	✓	✓	—
Bites/Mini	✓	✓	—

Performance-Lite (12–14g): For office professionals and early adopters (Cookies, Minis).

Active (15–18g): For regular gym-goers and weight management users (Bars, Cookies).

Performance (19–25g): For serious lifters seeking maximum protein density (Dense Bars).

Quality, Digestibility, and Compliance Are the Must-Have Pillars

In performance nutrition, trust is the product. Our operating model is built on four non-negotiable pillars to prevent the failures that plague "healthy food" brands.

1

Product Integrity (Macros, Sugar, Claims)

Risk
Misleading protein claims or hidden sugars destroy credibility.

Control
Batch-wise protein verification, strict sugar caps per SKU, and absolute transparency. All claims will adhere to FSSAI norms, with whey as the primary protein source to prevent "protent "protein-washing."

2

Taste, Texture & Digestibility (The Adoption Gate)

Risk
A product that is chalky, hardens in heat, or causes bloating will fail to build a habit, regardless of macros.

Control
Mandatory India-climate sensory and shelf-life stress testing. Digestibility trials are a go/no-go gate, acknowledging higher lactose/sweetener sensitivity in the Indian context.

3

Manufacturing & Supply Chain Discipline

Risk
Inconsistent product experience due to heat or poor handling (melting, oil leakage).

Control
Partnering only with manufacturers with proven protein snack experience. Packaging is engineered for Indian summers, with strict storage SOPs and audits for Q-commerce dark stores and gyms.

4

Training & Selling Discipline

Risk
Mis-selling snacks as universal meal replacements or over-promising weight loss leads to backlash and trust erosion.

Control
Clear use-case boundaries communicated through rigorous training for promoters, gym staff, and customer support.

Pricing Will Reflect User Maturity, Not Mass-Market Benchmarks (India-Specific Execution)

Our India pricing strategy directly reflects our **performance positioning**. We will not compete with mass snacks, instead commanding a **~10-20% premium** over local performance brands anchored to protein content and product quality.

A 3-Tier Ladder Anchored to Protein Density

Tier	Protein Content	Target User	Price Band (per unit)
Performance-Lite	12–14g	Office users, early adopters	**₹50 – ₹75**
Active	15–18g	Regular gym-goers	**₹80 – ₹110**
Performance	19–25g	Serious athletes, lifters	**₹110 – ₹140**

Pack Architecture to Drive AOV and Habit

- Single units are crucial for trial and Q-commerce.
- **Multipacks (6-packs, 12-packs)** are critical for the India strategy to improve D2C/Q-commerce AOV, reduce logistics friction, and encourage repeat purchases.

Differential Logic for Existing vs. New Users

- **Existing ON Whey Users:** Pricing focuses on bundling (e.g., Whey + Bars) to increase monthly protein touchpoints and LTV.
- **New Snack-First Users:** Trial is skewed towards lower-priced Performance-Lite formats to create an accessible entry point into the ON ecosystem.

Explicit Pricing Guardrails

- ✗ We will **NOT** engage in ₹30-40 mass pricing.
- ✗ We will **NOT** engage in constant deep discounting.
- ✗ We will **NOT** engage in impulse-driven gimmicks.

Our price is a signal of our performance credibility.

The App Will Act as a Guided Decision Layer, Not a Product Catalogue

(India-Specific Execution)

Our **D2C app and website are our primary education and retention engines.** The user experience is designed to guide users from performance goals to the right protein solutions, **actively preventing random, price-led browsing.**

1. Goal-Based Entry
2. Navigation by Protein Intensity
3. Use-Case Collections
4. Bundled Performance Stacks

Homepage Architecture: Goal-First, Not Product-First

1. **Goal-Based Entry**: Users select "Muscle Gain," "Fat Loss," or "Daily Protein" to see curated whey + snack combinations.
2. **Navigation by Protein Intensity**: Core navigation is built around our three tiers (Performance-Lite, Active, Performance), reinforcing our protein-first identity.
3. **Use-Case Collections**: Dynamic sections like "Office Snacks," "Post-Workout," and "Travel Protein" enable quick, relevant discovery.
4. **Bundled Performance Stacks**: The primary revenue engine, designed to increase AOV and train users in multi-format consumption.

Product Detail Page (PDP): A Conversion and LTV Tool

Prioritizes **Protein First**, followed by use-case badges ("Post-Workout"), digestibility callouts, and a "Stack With" section to organically upsell other relevant products.

Mirroring Logic on Q-Commerce & Marketplaces

On platforms like Blinkit or Zepto, we will create custom brand shelves ("Post-Workout Protein") and limit the assortment to 5-7 hero SKUs to ensure a focused discovery experience.

The Outcome: From Browsing to Habit Formation

Performance Discovery → Structured Protein Habits → Ecosystem Lock-in

Go-to-Market Will Be Phased Across D2C, Q-Commerce, Marketplaces, and Offline

Context: *(India-Specific Execution)*

Key thesis: Our India GTM is designed for rapid penetration of high-intent users first, followed by disciplined expansion. Success is defined by high early repeat rates and strong bundling, not by raw reach at any cost.

Dual Acquisition Engines

Engine A: Existing ON Whey Users (Highest ROI)

Our lowest CAC, highest LTV entry point. Activated via D2C with one-click upsells ("Add a Bar to Your Whey") and targeted bundling.

Engine B: Performance-Aspirational Users

Reached through Q-commerce and influencer content, using Performance-Lite cookies and minis as the entry point into the ON ecosystem.

Phase 1 (Months 0–3)

Core Activation

- D2C-first launch in core metros
- Focus on existing whey buyers
- Validate taste, digestion, repeat

Phase 2 (Months 3–6)

Q-Commerce Expansion

- Push impulse formats (minis, cookies)
- Validate high-frequency use cases on Blinkit/Zepto

Phase 3 (Months 6–12)

Marketplace & Offline Scale

- Expand on Amazon/Flipkart with multipacks
- Introduce into select offline stores

Clear Channel Roles

D2C (App/Website)

The Control Tower for education, bundling, subscriptions, and LTV maximization.

Q-Commerce

The Impulse & Frequency Engine for trial and solving urgent hunger moments (limited to 5-7 hero SKUs).

Marketplaces

The Scale Engine for broader reach via search, focusing on multipacks to maintain AOV.

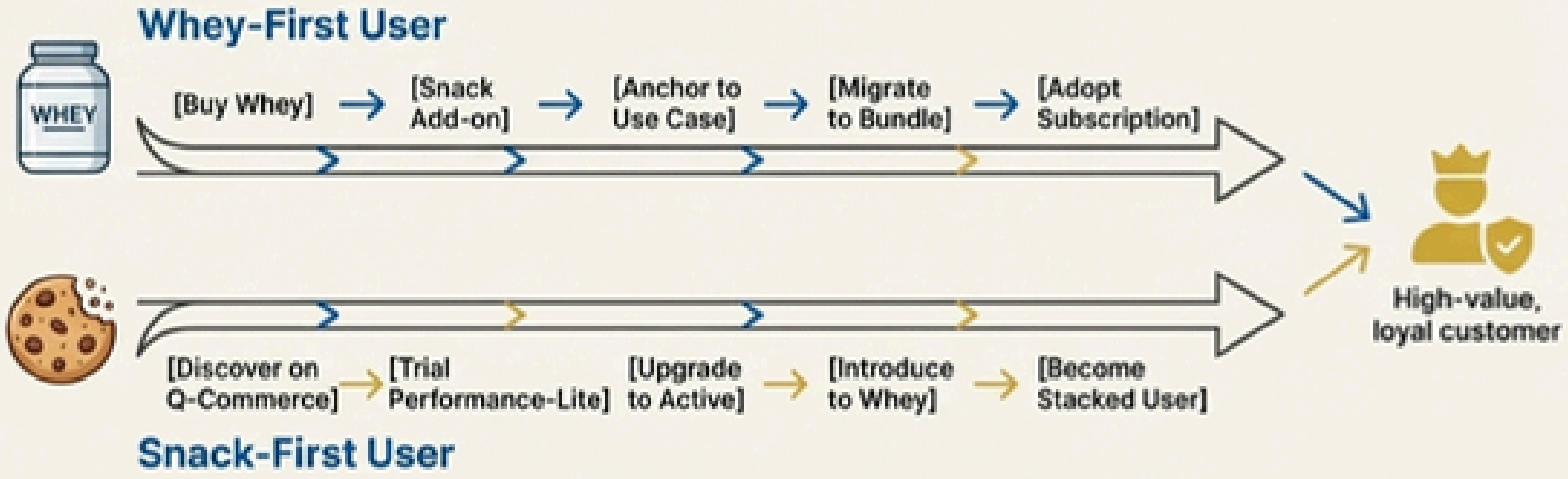
Repeat, Stacking, and Habits Drive Conversion and Retention

(India-Specific Execution)

Our goal is not to create **"snack customers," but to build daily protein compliance users**. The journey is engineered to increase protein frequency, deepen ecosystem dependency, and shift users from occasional purchases to habitual behavior.

Behavioral Retention Loops, Not Discounts

1. **Protein Gap Loop:** User feels hunger → ON snack provides satiety → User associates hunger with a need for protein.
2. **Performance Feedback Loop:** User feels better recovery → Credits consistent protein intake → Repeats behavior.
3. **Stack Expansion Loop:** User graduates from one format to a combination of bars, minis, and whey.



Subscription as an LTV Engine

Protein Consistency Plans: Subscriptions are designed to lock in LTV by aligning refill cycles with usage patterns (Weekly minis, Monthly bars, Monthly whey), creating predictable revenue and high switching costs.

Scale Will Be Unlocked Only After Depth Metrics Are Proven

(India-Specific Execution)

Key Thesis: We will scale like a performance nutrition system, not an FMCG snack brand. Expansion is gated by data, prioritizing city depth before national width and repeat-led SKU additions over flavor sprawl.

Phase 1: Proving the Model in Core Performance Cities (Months 0-6)

Objective: Validate repeat behavior, bundling, and unit economics in Tier 1 metros.

Success Gates

- **≥ 35–40%** 30-day repeat rate
- **≥ 25%** of snack orders are bundled with whey
- Consistent positive feedback on taste and digestion

Phase 2: Driving Depth in Proven Cities (Months 6-12)

Objective: Increase frequency and share-of-wallet within our established user base before expanding geographically.

Actions: Introduce new flavors of proven formats, push multipacks, and drive subscription penetration.

Phase 3: National Replication (Year 2+)

Objective: Replicate the proven playbook in new cities selected based on ON's existing whey sales data and Q-commerce infrastructure.

Discipline in Expansion

- We will **not** introduce localized flavors (e.g., namkeen).
- We will **not** pursue a distributor-first, trade-push expansion model.

SKU Expansion Governed by Data, Not Trends

- A new SKU is only added if it unlocks a new use case or protein tier and proves it does not cannibalize core products.
- The portfolio will be tightly capped to prevent supply chain bloat.

Key Profitability Driver Is LTV from 'Stacked' Whey-Snack Users (4× LTV:CAC Ratio)

(India-Specific Execution)

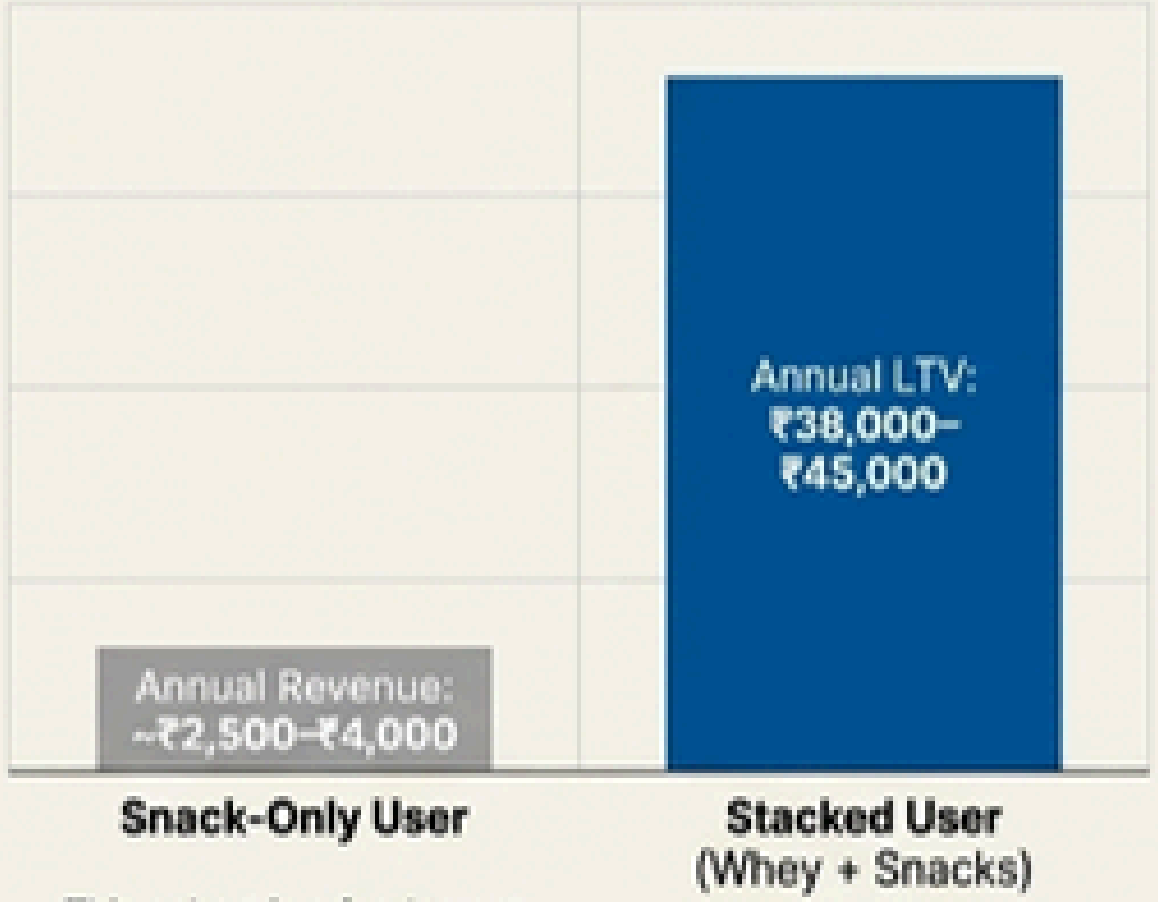
Profitability is driven by lifetime protein consumption per user, not single-order snack margins. The financial model is built on frequency, stacking, and subscription, which creates a powerful and defensible economic engine.

Indicative Unit Economics at Steady State

~30–35% Contribution Margin

- Blended Average Selling Price: **~₹90 per unit**
- **Margin** is higher than mass FMCG snacks but lower than whey powders, ideal for a frequency-driven add-on business.

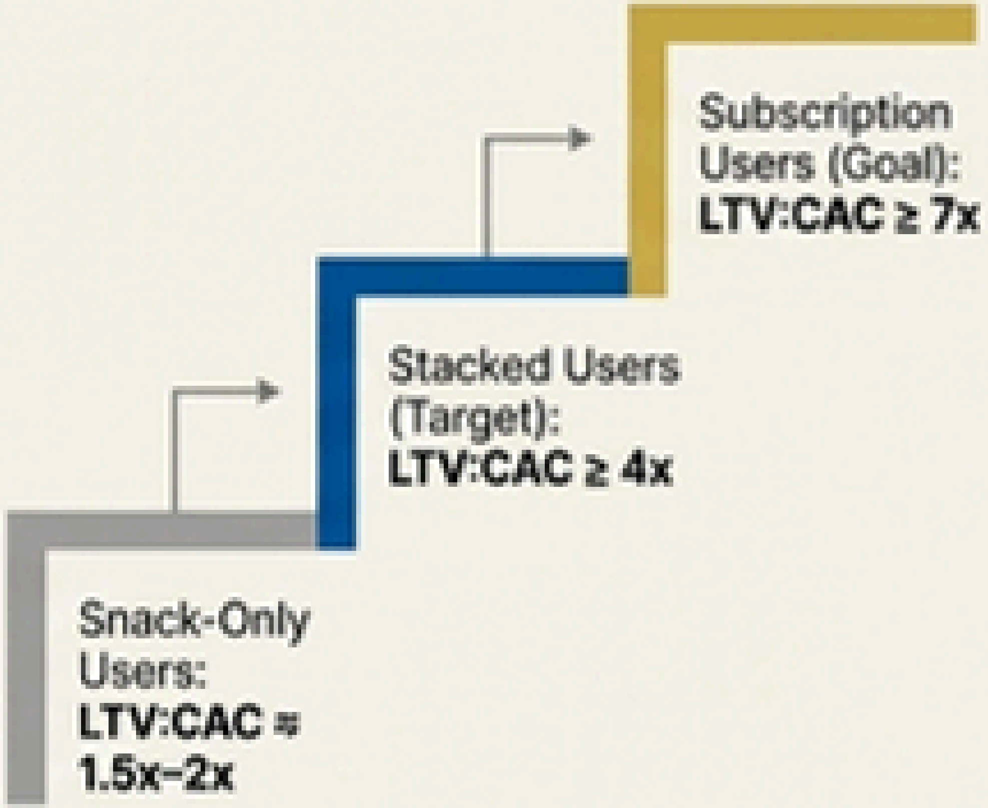
Where Profitability Unlocks



This cohort is a feeder, not the profit engine.

The core profit engine.

Target LTV:CAC Ratio Defines Marketing Efficiency



Primary Profit Levers, In Order of Importance

1. **Frequency ↑** Driving daily habits with minis and cookies.
2. **Stacking ↑** Increasing the percentage of users who buy both whey and snacks.
3. **Multipacks ↑** Systematically increasing the average order value.
4. **Subscription Penetration ↑** Locking in recurring revenue and maximizing LTV.